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Report Name: India Cuts Import Tax on Crude Edible Oils - Opportunities for US Soybean Oil

Country: India

Post: New Delhi

Report Category: Oilseeds and Products

Prepared By: Shilpita Das, Agricultural Specialist

Approved By: Joanna Brown, Agricultural Attaché

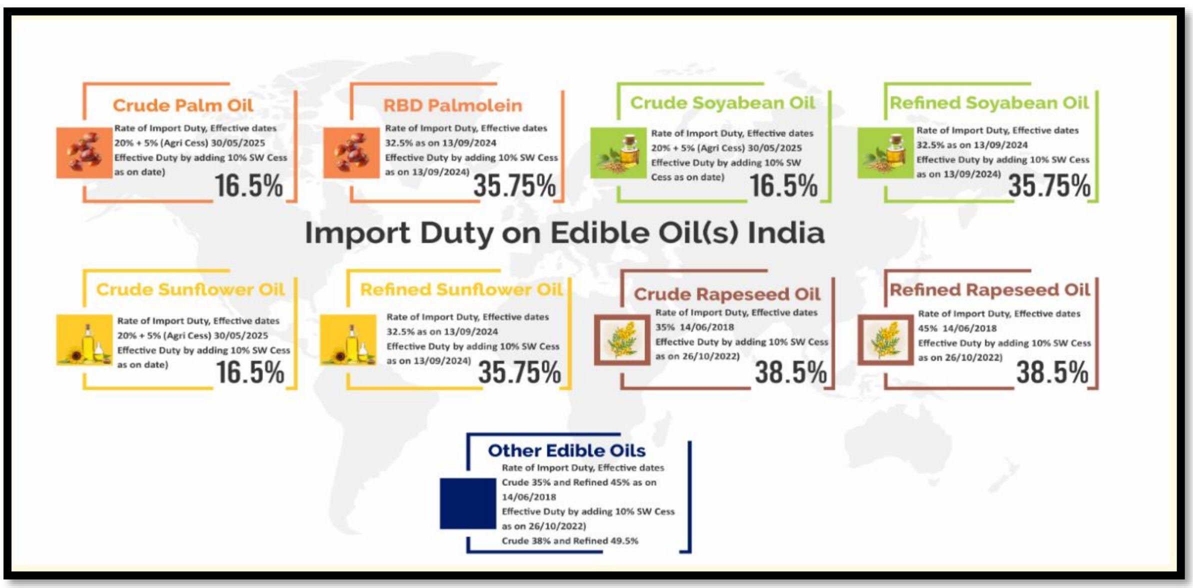
Report Highlights:

On May 30, 2025, India reduced its import duty on crude soybean, sunflower, and palm oil from 20 percent to 10 percent, lowering the effective duty to 16.5 percent. The policy aims to curb high edible oil prices and inflation while encouraging imports of crude oil to boost domestic refining. The tariff reduction is expected to increase crude oil imports, especially palm and soybean oil, presenting opportunities for the U.S. soybean sector.

DISCLAIMER: The information contained in this report is retrieved from India's Central Board of Indirect Taxes and Customs' (CBIC) website. The Foreign Agricultural Service (FAS) Office of Agricultural Affairs at the U.S. Embassy in New Delhi, USDA and/or the U.S. government make no claim of accuracy or authenticity. The Government of India has not officially endorsed this report. Import approval for any product is subject to local rules and regulations as interpreted by Indian officials at the time of product entry. [Note: Use Google Chrome to access the links that do not open in Microsoft Edge. Indian government host sites will geo-block site access on a rolling basis].

GENERAL INFORMATION: On May 30, 2025, India's Ministry of Finance issued Notification No. 31/2025-Customs, which reduces the import duty for crude edible oils from 20 to 10 percent. Effectively immediately, Indian imports of crude soybean, sunflower, and palm oil will see an overall total import duty of 16.5 percent from the earlier 27.5 percent. The effective duty includes India's 5 percent Agriculture Infrastructure and Development Cess and Social Welfare Surcharge (AIDC). The notification makes no changes to the import duty on refined oils, which remains at 32.5 percent with an effective import duty of 35.75 percent as shown in Figure 1.

Figure 1: Import Duty - Crude and Refined Edible Oils



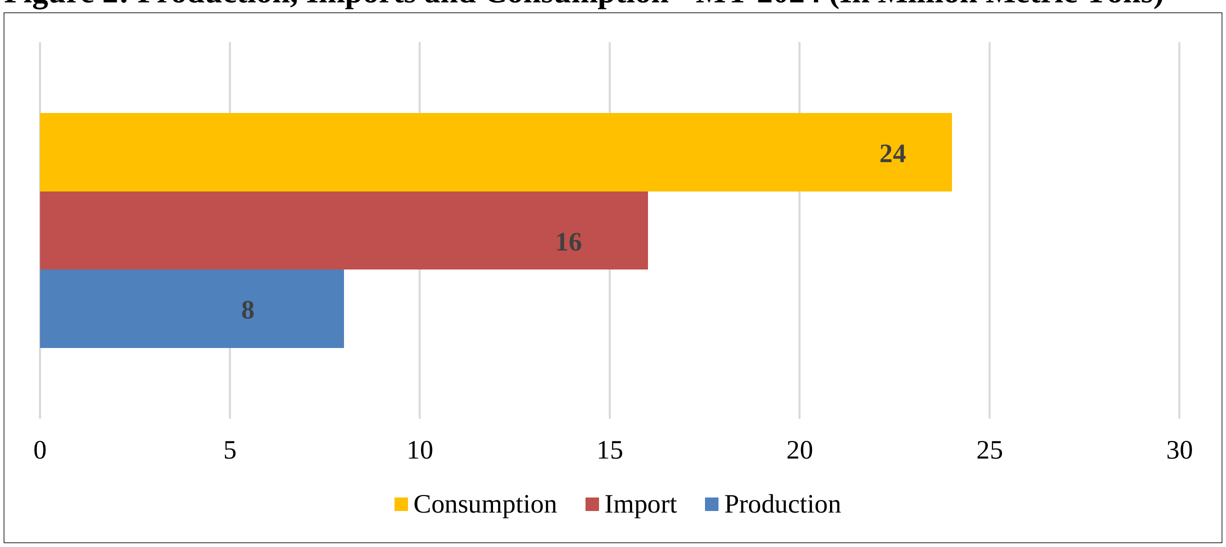
Source: Department of Food and Public Distribution, Ministry of Consumer Affairs, Food and Public.

As summarized by India's Department of Food and Public Distribution, the policy aims to control the rise in retail prices of cooking oil that have occurred over the last year. Specifically, the government's goal is to provide relief to consumers and help to reduce the oil and fat inflation rate. Retail prices of palm and soybean oil are 30 percent higher while the sunflower oil price is 20 percent higher compared to the previous year. Although India's overall food inflation saw a decline from 2.69 percent in March 2025 to 1.78 percent in April 2025, the inflation rate in oils and fats increased from 17.07 percent in March 2025 to 17.42 percent in April 2025. This is the highest level since March 2022 since the onset of the Russia-Ukraine war, which created significant uncertainty in India's edible oil import flows. The reduction in duties is expected to alleviate inflation in oils and fats, which should boost domestic demand of edible oils. Industry sources also anticipate that the 19.25 percent duty difference between crude and refined oils will enhance the domestic refining capacity for crude oils, benefiting importers and traders of crude oil.

The full text of the May 30th notification is available on the Central Board of Indirect Taxes & Customs website.

BACKGROUND: India relies heavily on imported vegetable oil to meet domestic consumption needs, with over 60 percent of its demand filled by imports. See Figure 2. Top suppliers include Indonesia (palm oil), Malaysia (palm oil), Argentina (soybean oil), Brazil (soybean oil), Russia (sunflower oil), and Ukraine (sunflower oil). The share of palm oil imports dropped significantly during the first half of the current marketing year (MY) 2024/25 which runs from October to September due to increased Malaysian benchmark price. Post anticipates that the reduced import duty will revive the import of palm oil to some extent. Relatedly, sunflower oil imports already saw a 30 percent rise in the current MY due to the benchmark palm oil price hike and it is expected to see a further rise (See: India: Oilseeds and Products Annual). Soybean oil imports which were anticipated higher in the current year is likely to experience a further increase with the newly reduced duty. Although India's soybean oil market is dominated by Argentina, the reduced tariff can boost the import of U.S. soybean oil.

Figure 2: Production, Imports and Consumption - MY 2024 (In Million Metric Tons)



Source: FAS New Delhi Research

In 2022, India became the largest importer of U.S. soybean oil since 1970, at a valuation of $291 million—representing an eightfold increase from the previous year's total of $34 million. This surge was driven by geopolitical tensions between Russia and Ukraine. Specifically major sunflower oil exports to India were disrupted during the initial period of conflict. Additionally, drought in South America reduced soybean output which further constrained global soybean oil availability. Consequently, despite higher prices, Indian buyers shifted preference to U.S. soybean oil. A similar rise in imports can be seen in the current MY. This is due to a multi-year low in prices that made U.S. soybean oil cheaper than palm oil. See Table 1. As a result, between October through April 2025, India imported $207 million worth of U.S. soybean oil equivalent to 198 MMT, already surpassing 72 percent of the total value and 97 percent of the total quantity imported in MY 2022. This trend is expected to continue due to the reduced import duty.

Table 1: Prices are in US$ Per Metric Ton on Cost, Insurance, and Freight (CIF) Basis

Imported Edible Oils	**Feb-25**	**Mar-25**	**Apr-25**
Crude Palm Oil	1197	1184	1112
Crude Sunflower Oil	1216	1220	1219
Crude Soybean Oil (Others)	1156	1095	1103
Crude Soybean Oil (U.S.)	1018	1020	1015

Source: Solvent Extractor's Association and FAS New Delhi Research

Relatedly, Ukraine's sunflowerseed acreage has been decreasing, largely due to the ongoing conflict in the region. Consequently, sunflower oil prices reached a three-year peak in November 2024, resulting in a 16 percent increase for the current marketing year. Ukrainian sunflower oil is trading at a premium compared to Russian oil. This trend is expected to keep the Cost, Insurance, and Freight (CIF) price elevated through September 2025 at approximately $1,210 per metric ton. Additionally, Russian sunflower oil exports are anticipated to moderate, as the appreciation of the ruble diminishes their global price competitiveness. These market dynamics may lead Indian importers to shift their procurement preferences toward soybean oil as an alternative in the near future. The CIF price for soybean oil is projected at $1,050 for Brazilian and Argentinian origins, and $1,060 for U.S. soybean oil – the price differentials are expected to have no impact on India's contracted demand.

On May 28, 2025, the Cabinet Committee on Economic Affairs raised the minimum support price (MSP) for soybean, groundnut, and sunflower oilseeds for the Indian crop year (ICY) 2025/26. However, the current soybean MSP of INR 4,892 per quintal has been undermined by a recent drop in soybean prices to INR 4,200 per quintal. Furthermore, a reduced acreage in soybean oilseed is expected because of crop diversification from soybean to corn, which is due to the rise in grain-based ethanol demand. Overall, the domestic soybean oilseed market is anticipated to experience a downfall. According to FAS sources, even with the increased MSP, the reduced import duty on edible oils is likely to discourage domestic soybean cultivation owning to reduced profitability.

Prior to the May 2025, India's Ministry of Finance increased the crude oil import duty to 20 percent from zero. The refined oil import duty was also raised from 12.5 to 32.5 percent. Discounted imports of soybean, sunflower, and palm oils had depressed domestic oilseed prices in MY2024/25. Previously, farmers and traders increased the oilseed stocks due to lower price realizations. As a result, the Indian government raised the import duty in September 2024 to reduce the import dependency and improve prices for domestic oilseed farmers. However, the increase in import duty did not yield the intended effect. Prices remained far below the MSP, indicating that the duty hike did not reverse the declining domestic price trend.

Attachments:

CBIC Import Duty Notification May 31, 2025.pdf